Incentives, Contracts, Reciprocity, and Workplace Behavior

Behavioral Labor – Week 5

Teaching deck draft

Central question

- How do behavioral mechanisms reshape incentives and effort inside the employment relationship?
- Week 5 moves inside firms: pay, contracts, monitoring, supervision, and evaluation.
- The core issue is not whether incentives matter.
- The issue is how workers interpret incentives and which margin actually moves.

Bridge from Weeks 2–4

Earlier object	Week 5 workplace shift
Nonstandard preferences	Reciprocity, reference points, fairness, and loss framing at work
Beliefs and expectations	Workers infer what the firm values and what supervisors reward
Attention and complexity	Contracts, bonuses, and monitoring dashboards must be understood
Policy and firm design	Employers choose pay rules, messages, visibility, and evaluation systems

Workplace behavior as behavioral labor

Contract object	Behavioral channel	Labor outcome
Gift or wage gesture	reciprocity and fairness	extra work or productivity
Bonus frame	reference point and loss aversion	target response or gaming
Monitoring regime	visibility and salience	compliance or measured effort
Supervisor rating	subjective evaluation	influence activity or output
Performance pay	heterogeneous response	output, sorting, earnings dispersion

The empirical question: what changed, which margin moved, and what remains hidden?

Benchmark effort and contract problem

$$\max_{e \geq 0} \; u(w(y(e))) - c(e)$$

Object	Interpretation
e	workplace effort
$y(e)$	measured output or task completion
$w(y(e))$	compensation schedule tied to output
$c(e)$	effort cost
Benchmark	firms change pay rules and workers move effort

Behavioral contracts plus monitoring

$$\max_{e \geq 0} \; u(w(y(e), m)) - c(e) + B(g_i, r_i, f_i, s_i, m_i; e)$$

- m: monitoring regime or information technology.
- g_i: perceived generosity or employer effort.
- r_i: reference point for pay, bonus, target, or treatment.
- f_i: framing and contract presentation.
- s_i: social preferences, reciprocity, fairness, and workplace norms.

Incentives plus monitoring

Monitoring role	Possible benefit	Possible cost
Make output visible	incentives bite on productive effort	workers optimize the metric
Increase feedback	learning and task correction	stress or crowd-out
Signal managerial attention	relational treatment or accountability	surveillance and mistrust
Support evaluation	better information for pay or promotion	influence activity and bias

Monitoring is part of incentive design, not a neutral add-on.

Reciprocity and gift exchange

- Core object: workers may reciprocate employer generosity.
- Kube-Marechal-Puppe: gifts and wage gestures in workplace effort.
- DellaVigna-List-Malmendier-Rao: social preferences and gift exchange at work.
- Key diagnostic: does the treatment raise extra work, productivity, or both?
- Do not stop at "gift exchange exists." Ask what margin moved.

Reference dependence and loss framing

$$U(e) = u(w(y(e))) - c(e) + \lambda \min\{0,\, b(e) - r\}$$

- A bonus can be framed as a gain or as something at risk of being lost.
- Loss framing can increase urgency around a target.
- But target response is not the same as total performance.
- Frontier question: when does loss framing motivate, and when does it induce gaming?

Subjective evaluation and supervision

$$\max_{e,a\geq 0}\; u\Big(w\big(z(e), \hat{q}^S(e,a)\big)\Big) - c(e) - \psi(a)$$

Object	Interpretation
$z(e)$	objective productive output
$\hat{q}^S(e,a)$	supervisor's subjective assessment
a	influence activity or supervisor-facing effort
Risk	workers please evaluators instead of improving production

Performance pay, heterogeneity, and sorting

$$k_i^\star \in \arg\max_{k \in \mathcal{K}} \mathbb{E}[U_i(w_k(y_i(e), m), e)]$$

- Performance-pay estimates can mix treatment and selection.
- Workers differ in monetary responsiveness, risk tolerance, reciprocity, and monitoring aversion.
- Contract choice can change the workforce, not only effort of incumbents.
- Average effects can hide large gains, crowd-out, or unequal responses by type.

Productivity versus extra work versus gaming

Margin	Looks like success when...	Risk
Productive effort	valuable output rises	hard to measure fully
Extra work	time or tasks increase	activity is not value
Gaming	target attainment rises	metric improves, production does not
Influence activity	ratings improve	supervisor-facing effort crowds out work
Sorting	high responders enter	treatment effect is overstated

Frontier: digital and algorithmic monitoring

- Remote work and platform work bundle pay, monitoring, feedback, and discipline.
- Digital tools can reveal output, process, time, location, communication, and compliance.
- Behavioral questions: visibility, trust, stress, gaming, reciprocity, and privacy costs.
- Identification question: does monitoring change productivity, measured effort, evaluation, or worker sorting?

Methods map

Design	Identifying object	Main caution
Gift experiment	reciprocity and generosity response	kindness versus surprise
Framing experiment	reference dependence and loss response	target attainment versus value
Monitoring experiment	observation and supervision effects	visibility versus motivation
Subjective evaluation	influence activity and ratings	true quality versus relationship capital
Real-effort contracts	relative motivator strength	workplace external validity
Contract choice	treatment versus sorting	endogenous selection

Week 5 lab

- Reproduce: synthetic gift-exchange workplace factbook.
- Diagnose: behavioral object, contract element, labor margin, and identification claim.
- Transfer: monitoring intensity and productivity versus compliance.
- Frontier extension: subjective evaluation and influence activity.

Bridge to Week 6

- Week 5: firms govern behavior inside the employment relationship.
- Pay, monitoring, gifts, loss frames, and evaluation change effort composition.
- Week 6 widens the lens to identity, norms, fairness, and labor-market allocation.
- The bridge is social meaning: contracts are interpreted inside organizations and markets.

Takeaways

- Incentives work through pay, interpretation, monitoring, and evaluation.
- Extra work, productivity, gaming, and influence activity are different outcomes.
- Stronger incentives are not automatically better workplace design.
- Credible evidence names the behavioral object, labor margin, outcome metric, and identification claim.